

HOUSE OF REPRESENTATIVES - FLOOR VERSION

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

ENGROSSED SENATE
BILL NO. 1144By: Hall, Haste, and Pederson
of the Senate

and

Caldwell (Trey) and Kane of
the House

An Act relating to the Teachers' Retirement System of Oklahoma; amending 3A O.S. 2021, Section 713, as last amended by Section 5, Chapter 443, O.S.L. 2024 (3A O.S. Supp. 2025, Section 713), which relates to the apportionment of Oklahoma lottery proceeds; ceasing certain apportionment to the Teachers' Retirement System Dedicated Revenue Revolving Fund upon certain conditions; increasing certain apportionment under certain conditions; amending 62 O.S. 2021, Section 3103, as last amended by Section 2, Chapter 361, O.S.L. 2024 (62 O.S. Supp. 2025, Section 3103), which relates to the Oklahoma Pension Legislation Actuarial Analysis Act; modifying certain definition; amending 68 O.S. 2021, Sections 1353, as last amended by Section 4, Chapter 441, O.S.L. 2024, 1403, and 2352 (68 O.S. Supp. 2025, Section 1353), which relate to the apportionment of tax proceeds; ceasing certain apportionment to certain fund upon certain conditions; increasing certain apportionment under certain conditions; authorizing benefit increase for certain retired members of the Teachers' Retirement System of Oklahoma; updating statutory language; providing for codification; and providing effective dates.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

1 SECTION 1. AMENDATORY 3A O.S. 2021, Section 713, as last
2 amended by Section 5, Chapter 443, O.S.L. 2024 (3A O.S. Supp. 2025,
3 Section 713), is amended to read as follows:

4 Section 713. A. All gross proceeds shall be the property of
5 the Oklahoma Lottery Commission. From its gross proceeds, the
6 Commission shall pay the operating expenses of the Commission. At
7 least forty-five percent (45%) of gross proceeds shall be made
8 available as prize money. However, the provisions of this
9 subsection shall be deemed not to create any lien, entitlement,
10 cause of action, or other private right, and any rights of holders
11 of tickets or shares shall be determined by the Commission in
12 setting the terms of its lottery or lotteries.

13 B. There is hereby created in the State Treasury a fund to be
14 designated the "Oklahoma Education Lottery Trust Fund".
15 Expenditures from the fund shall be made upon warrants issued by the
16 State Treasurer against claims filed as prescribed by law with the
17 Director of the Office of Management and Enterprise Services for
18 approval and payment.

19 C. Upon their deposit into the State Treasury, any monies
20 representing a deposit of net proceeds shall then become the
21 unencumbered property of this state, and neither the Commission nor
22 the board of trustees shall have the power to agree or undertake
23 otherwise. The monies shall be invested by the State Treasurer in
24 accordance with state investment practices. All earnings

1 attributable to such investments shall likewise be the unencumbered
2 property of the state and shall accrue to the credit of the fund
3 provided for in subsection B of this section.

4 1. The first Sixty-five Million Dollars (\$65,000,000.00) of
5 monies contributed annually to the Oklahoma Education Lottery Trust
6 Fund shall only be appropriated as follows:

7 a. forty-five percent (45%) until the conditions of
8 paragraph 3 of this subsection have been met, and
9 after such conditions have been met fifty percent
10 (50%) for the following:

- 11 (1) kindergarten through twelfth grade public
12 education, including but not limited to
13 compensation and benefits for public school
14 teachers and support employees, and
15 (2) early childhood development programs, which shall
16 include but not be limited to costs associated
17 with prekindergarten and full-day kindergarten
18 programs,

19 b. forty-five percent (45%) for the following:

- 20 (1) tuition grants, loans and scholarships to
21 citizens of this state to enable such citizens to
22 attend colleges and universities located within
23 this state, regardless of whether such colleges
24 and universities are owned or operated by the

Oklahoma State Regents for Higher Education, or to attend institutions operated under the authority of the Oklahoma Department of Career and Technology Education; provided, such tuition grants, loans and scholarships shall not be made to a citizen of this state to attend a college or university which is not accredited by the Oklahoma State Regents for Higher Education,

(2) construction of educational facilities for elementary school districts, independent school districts, The Oklahoma State System of Higher Education, and career and technology education,

(3) capital outlay projects for elementary school districts, independent school districts, The Oklahoma State System of Higher Education, and career and technology education,

(4) technology for public elementary school district, independent school district, state higher education, and career and technology education facilities, which shall include but not be limited to costs of providing to teachers at accredited public institutions who teach levels kindergarten through twelfth grade, personnel at technology centers under the authority of the

Oklahoma State Department of Career and Technology Education, and professors and instructors within The Oklahoma State System of Higher Education, the necessary training in the use and application of computers and advanced electronic instructional technology to implement interactive learning environments in the classroom and to access the statewide distance learning network and costs associated with repairing and maintaining advanced electronic instructional technology,

(5) endowed chairs for professors at institutions of higher education operated by The Oklahoma State System of Higher Education, and

(6) programs and personnel of the Oklahoma School for the Deaf and the Oklahoma School for the Blind,

c. five percent (5%) to the School Consolidation Assistance Fund. When the total amount in the School Consolidation Assistance Fund from all sources equals Five Million Dollars (\$5,000,000.00), all monies appropriated pursuant to this subparagraph which would otherwise be deposited in the School Consolidation Assistance Fund in excess of Five Million Dollars (\$5,000,000.00) shall be allocated by the State

1 Department of Education to public schools based on the
2 audited end-of-year average daily membership in grades
3 8 through 12 during the preceding school year for the
4 purpose of purchasing technology equipment. If at any
5 time the total amount in the School Consolidation
6 Assistance Fund drops below Five Million Dollars
7 (\$5,000,000.00), the monies appropriated pursuant to
8 this subparagraph shall be deposited in the School
9 Consolidation Assistance Fund until the Fund again
10 reaches Five Million Dollars (\$5,000,000.00), and

11 d. subject to the provisions of paragraph 3 of this
12 subsection, five percent (5%) to the Teachers'

13 Retirement System Dedicated Revenue Revolving Fund.

14 In no instance shall the annual maximum percentage for
15 administrative costs, not including marketing and advertising costs,
16 funds set aside for prizes, commissions paid to retailers, contract
17 fees paid to gaming system vendors and instant ticket providers or
18 emergency-related capital expenses, exceed three percent (3%) of
19 sales.

20 2. The remaining portion of lottery annual net proceeds
21 deposited to the Oklahoma Education Lottery Trust Fund that exceeds
22 Sixty-five Million Dollars (\$65,000,000.00) shall be transferred by
23 the Office of Management and Enterprise Services to the credit of
24

1 the Teacher Empowerment Revolving Fund created in Section 6-190.2 of
2 Title 70 of the Oklahoma Statutes.

3 3. All apportionments to the Teachers' Retirement System
4 Dedicated Revenue Revolving Fund pursuant to this subsection shall
5 cease upon the earlier of June 30, 2036, or June 30 of the state
6 fiscal year in which a determination is made by an actuary employed
7 or contracted by the Teachers' Retirement System of Oklahoma that
8 the System has a funded ratio equal to or greater than one hundred
9 percent (100%).

10 D. The Legislature shall appropriate funds from the Oklahoma
11 Education Lottery Trust Fund only for the purposes specified in
12 subsection C of this section. Even when funds from the trust fund
13 are used for these purposes, the Legislature shall not use funds
14 from the trust fund to supplant or replace other state funds
15 supporting common education, higher education, or career and
16 technology education.

17 E. In order to ensure that the funds from the trust fund are
18 used to enhance and not supplant funding for education, the State
19 Board of Equalization shall examine and investigate appropriations
20 from the trust fund each year. At the meeting of the State Board of
21 Equalization held within five (5) days after the monthly
22 apportionment in February of each year, the State Board of
23 Equalization shall issue a finding and report which shall state
24 whether appropriations from the trust fund were used to enhance or

1 supplant education funding. If the State Board of Equalization
2 finds that education funding was supplanted by funds from the trust
3 fund, the Board shall specify the amount by which education funding
4 was supplanted. In this event, the Legislature shall not make any
5 appropriations for the ensuing fiscal year until an appropriation in
6 that amount is made to replenish the trust fund.

7 F. Except as otherwise provided by this subsection, no
8 deficiency in the Oklahoma Education Lottery Trust Fund shall be
9 replenished by reducing any nonlottery funds including, specifically
10 but without limitation, the General Revenue Fund, the Constitutional
11 Reserve Fund, or the Education Reform Revolving Fund of the State
12 Department of Education. No program or project started specifically
13 from lottery proceeds shall be continued from the General Revenue
14 Fund, the Constitutional Reserve Fund, or the Education Reform
15 Revolving Fund of the State Department of Education. Such programs
16 must be adjusted or discontinued according to available lottery
17 proceeds unless the Legislature by general law establishes
18 eligibility requirements and appropriates specific funds therefor.
19 No surplus in the Oklahoma Education Lottery Trust Fund shall be
20 reduced or transferred to correct any nonlottery deficiencies in
21 sums available for general appropriations. The provisions of this
22 subsection shall not apply to bonds or other obligations issued
23 pursuant to or to the repayment of bonds or other obligations issued
24

1 pursuant to the Oklahoma Higher Education Promise of Excellence Act
2 of 2005.

3 G. There is hereby created in the State Treasury a revolving
4 fund to be designated the "Oklahoma Education Lottery Revolving
5 Fund". The fund shall be a continuing fund, not subject to fiscal
6 year limitations, and shall consist of all monies received by the
7 Commission. All monies accruing to the credit of the Oklahoma
8 Education Lottery Revolving Fund are hereby appropriated and may be
9 budgeted and expended for the payment of net proceeds, prizes,
10 commissions to retailers, administrative expenses and all other
11 expenses arising out of the operation of the education lottery,
12 subject to the limitations provided in the Oklahoma Education
13 Lottery Act. Expenditures from the fund shall be made upon warrants
14 issued by the State Treasurer against claims filed as prescribed by
15 law with the Director of the Office of Management and Enterprise
16 Services for approval and payment.

17 The monies in the fund shall be invested by the State Treasurer
18 in accordance with state investment practices. All earnings
19 attributable to such investments shall likewise accrue to the credit
20 of the fund.

21 H. When appropriations from the Oklahoma Education Lottery
22 Trust Fund are made to common education pursuant to the provisions
23 of subparagraph a of paragraph 1 of subsection C of this section,
24 the appropriations shall be made available on a monthly basis. The

1 following process shall be used to ensure that the appropriations
2 are made available to common education in a timely manner:

3 1. Beginning in July of the fiscal year in which appropriations
4 are made to common education from the Oklahoma Education Lottery
5 Trust Fund, the Commission, on or before the ninth day of each
6 month, shall transfer to the State Treasurer, for credit to the
7 Oklahoma Education Lottery Trust Fund, one-twelfth (1/12) of the
8 annual apportionment due to common education as required by
9 subparagraph a of paragraph 1 of subsection C of this section;

10 2. The Director of the Office of Management and Enterprise
11 Services shall allocate the transfers provided for in paragraph 1 of
12 this subsection to the State Department of Education on a monthly
13 basis, not to exceed one-twelfth (1/12) of the annual apportionment
14 for the fiscal year; and

15 3. The total amount of transfers to the Oklahoma Education
16 Lottery Trust Fund of net lottery proceeds made pursuant to this
17 subsection shall not exceed the total appropriations made to common
18 education from the Oklahoma Education Lottery Trust Fund for the
19 specific fiscal year.

20 I. When appropriations from the Oklahoma Education Lottery
21 Trust Fund are made to The Oklahoma State System of Higher Education
22 pursuant to the provisions of subparagraph b of paragraph 1 of
23 subsection C of this section, the appropriations shall be made
24 available to the System on a monthly basis. The following process

1 shall be used to ensure that the appropriations are made available
2 to The Oklahoma State System of Higher Education in a timely manner:

3 1. Beginning in July of the fiscal year in which appropriations
4 are made to The Oklahoma State System of Higher Education from the
5 Oklahoma Education Lottery Trust Fund, the Commission, on or before
6 the ninth day of each month, shall transfer to the State Treasurer,
7 for credit to the Oklahoma Education Lottery Trust Fund one-twelfth
8 (1/12) of the annual apportionment due to the Oklahoma State Regents
9 for Higher Education as required by subparagraph b of paragraph 1 of
10 subsection C of this section;

11 2. The Director of the Office of Management and Enterprise
12 Services shall allocate the transfers provided for in paragraph 1 of
13 this subsection to the Oklahoma State Regents for Higher Education
14 on a monthly basis, not to exceed one-twelfth (1/12) of the annual
15 apportionment for the fiscal year; and

16 3. The total amount of transfers to the Oklahoma Education
17 Lottery Trust Fund of net lottery proceeds made pursuant to this
18 subsection shall not exceed the total appropriations made to The
19 Oklahoma State System for Higher Education from the Oklahoma
20 Education Lottery Trust Fund for the specific fiscal year.

21 J. When appropriations from the Oklahoma Education Lottery
22 Trust Fund are made to the Oklahoma Department of Career and
23 Technology Education, pursuant to the provisions of subparagraph b
24 of paragraph 1 of subsection C of this section, the appropriations

1 shall be made available on an annual basis. The following process
2 shall be used to ensure that the appropriations to the Oklahoma
3 Education Lottery Trust Fund are available for the Oklahoma
4 Department of Career and Technology Education in a timely manner:

5 1. Beginning in July of the fiscal year in which appropriations
6 are made to the Oklahoma Department of Career and Technology
7 Education from the Oklahoma Education Lottery Trust Fund, the
8 Commission, on or before the ninth day of each quarter, shall
9 transfer to the State Treasurer, for credit to the Oklahoma
10 Education Lottery Trust Fund, one-fourth (1/4) of the annual
11 apportionment due to the Oklahoma Department of Career and
12 Technology Education as required by subparagraph b of paragraph 1 of
13 subsection C of this section;

14 2. The Director of the Office of Management and Enterprise
15 Services shall allocate the transfer provided for in paragraph 1 of
16 this subsection to the Oklahoma Department of Career and Technology
17 Education on a quarterly basis, not to exceed one-fourth (1/4) of
18 the annual apportionment for the fiscal year; and

19 3. The total amount of transfers to the Oklahoma Education
20 Lottery Trust Fund of net lottery proceeds made pursuant to this
21 subsection shall not exceed the total appropriations made to the
22 Oklahoma Department of Career and Technology Education from the
23 Oklahoma Education Lottery Trust Fund for the specific fiscal year.

1 K. When appropriations from the Oklahoma Education Lottery
2 Trust Fund are made to the School Consolidation Assistance Fund and
3 Teachers' Retirement System Dedicated Revenue Revolving Fund,
4 pursuant to the provisions of subparagraphs c and d of paragraph 1
5 of subsection C of this section, the appropriations shall be made
6 available on an annual basis. The following process shall be used
7 to ensure that the appropriations to the Oklahoma Education Lottery
8 Trust Fund are made available to the School Consolidation Assistance
9 Fund and Teachers' Retirement System Dedicated Revenue Revolving
10 Fund in a timely manner:

11 1. Beginning in July of the fiscal year in which appropriations
12 are made to the School Consolidation Assistance Fund and the
13 Teachers' Retirement System Dedicated Revenue Revolving Fund from
14 the Oklahoma Education Lottery Trust Fund, the Commission, on or
15 before the ninth day of each quarter, shall transfer to the State
16 Treasurer, for credit to the Oklahoma Education Lottery Trust Fund,
17 one-fourth (1/4) of the annual apportionment due to the School
18 Consolidation Assistance Fund and the Teachers' Retirement System
19 Dedicated Revenue Revolving Fund as required by subparagraphs c and
20 d of paragraph 1 of subsection C of this section;

21 2. The Director of the Office of Management and Enterprise
22 Services shall allocate the transfers provided for in paragraph 1 of
23 this subsection to the School Consolidation Assistance Fund and the
24 Teachers' Retirement System Dedicated Revenue Revolving Fund on a

1 quarterly basis, not to exceed one-fourth (1/4) of the annual
2 apportionment for the fiscal year; and

3 3. The total amount of transfers to the Oklahoma Education
4 Lottery Trust Fund of net lottery proceeds made pursuant to this
5 subsection shall not exceed the total appropriations made to the
6 School Consolidation Assistance Fund and the Teachers' Retirement
7 System Dedicated Revenue Revolving Fund from the Oklahoma Education
8 Lottery Trust Fund for the specific fiscal year.

9 L. At the conclusion of each fiscal year, the Oklahoma Lottery
10 Commission shall make available all remaining profits to the
11 Oklahoma Education Lottery Trust Fund in the following manner:

12 1. By July 9 of the proceeding fiscal year, the Oklahoma
13 Lottery Commission shall transfer the five percent (5%) difference
14 between the previous year's State Board of Equalization estimate and
15 the appropriated amount. The cash contribution shall be available
16 for appropriation in the following legislative session pending
17 profit exists above and beyond the prior year's annual
18 appropriation; and

19 2. By September 30, the Oklahoma Lottery Commission shall
20 transfer all remaining profit as established by an external
21 financial audit pursuant to Section 733 of this title. This cash
22 contribution shall be available for appropriation in the following
23 legislative session pending profit exists above and beyond the prior
24 year's annual appropriation.

1 SECTION 2. AMENDATORY 62 O.S. 2021, Section 3103, as
2 last amended by Section 2, Chapter 361, O.S.L. 2024 (62 O.S. Supp.
3 2025, Section 3103), is amended to read as follows:

4 Section 3103. As used in the Oklahoma Pension Legislation
5 Actuarial Analysis Act:

6 1. "Amendment" means any amendment, including a substitute
7 bill, made to a retirement bill by any committee of the House of
8 Representatives or Senate, any conference committee of the House or
9 Senate or by the House or Senate;

10 2. "RB number" means that number preceded by the letters "RB"
11 assigned to a retirement bill by the respective staffs of the
12 ~~Oklahoma State~~ Senate and the ~~Oklahoma~~ House of Representatives when
13 the respective staff office prepares a retirement bill for a member
14 of the Legislature;

15 3. "Legislative Actuary" means the firm or entity that enters
16 into a contract with the Legislative Service Bureau pursuant to
17 Section 452.15 of Title 74 of the Oklahoma Statutes to provide the
18 actuarial services and other duties provided for in the Oklahoma
19 Pension Legislation Actuarial Analysis Act;

20 4. "Nonfiscal amendment" means an amendment to a retirement
21 bill having a fiscal impact, which amendment does not change any
22 factor of an actuarial investigation specified in subsection A of
23 Section 3109 of this title;

24 5. "Nonfiscal retirement bill" means a retirement bill:

- 1 a. which does not affect the cost or funding factors of a
2 retirement system,
- 3 b. which affects such factors only in a manner which does
4 not:
- 5 (1) grant a benefit increase under the retirement
6 system affected by the bill,
- 7 (2) create an actuarial accrued liability for or
8 increase the actuarial accrued liability of the
9 retirement system affected by the bill, or
- 10 (3) increase the normal cost of the retirement system
11 affected by the bill,
- 12 c. which authorizes the purchase by an active member of
13 the retirement system, at the actuarial cost for the
14 purchase as computed pursuant to the statute in effect
15 on the effective date of the measure allowing such
16 purchase, of years of service for purposes of reaching
17 a normal retirement date in the applicable retirement
18 system, but which cannot be used in order to compute
19 the number of years of service for purposes of
20 computing the retirement benefit for the member,
- 21 d. which provides for the computation of a service-
22 connected disability retirement benefit for members of
23 the Oklahoma Law Enforcement Retirement System
24 pursuant to Section 2-305 of Title 47 of the Oklahoma

- 1 Statutes if the members were unable to complete twenty
2 (20) years of service as a result of the disability,
3 e. which requires membership in the defined benefit plan
4 authorized by Section 901 et seq. of Title 74 of the
5 Oklahoma Statutes for persons whose first elected or
6 appointed service occurs on or after November 1, 2018,
7 if such persons had any prior service in the Oklahoma
8 Public Employees Retirement System prior to November
9 1, 2015,
10 f. which provides for a one-time increase in retirement
11 benefits if the increase in retirement benefits is not
12 a permanent increase in the gross annual retirement
13 benefit payable to a member or beneficiary, occurs
14 only once pursuant to a single statutory authorization
15 and does not exceed:
16 (1) the lesser of two percent (2%) of the gross
17 annual retirement benefit of the member or One
18 Thousand Dollars (\$1,000.00) and requires that
19 the benefit may only be provided if the funded
20 ratio of the affected retirement system would not
21 be less than sixty percent (60%) but not greater
22 than eighty percent (80%) after the benefit
23 increase is paid,
24

- 1 (2) the lesser of two percent (2%) of the gross
2 annual retirement benefit of the member or One
3 Thousand Two Hundred Dollars (\$1,200.00) and
4 requires that the benefit may only be provided if
5 the funded ratio of the affected retirement
6 system would be greater than eighty percent (80%)
7 but not greater than one hundred percent (100%)
8 after the benefit increase is paid,
- 9 (3) the lesser of two percent (2%) of the gross
10 annual retirement benefit of the member or One
11 Thousand Four Hundred Dollars (\$1,400.00) and
12 requires that the benefit may only be provided if
13 the funded ratio of the affected retirement
14 system would be greater than one hundred percent
15 (100%) after the benefit increase is paid, or
- 16 (4) the greater of two percent (2%) of the gross
17 annual retirement benefit of the volunteer
18 firefighter or One Hundred Dollars (\$100.00) for
19 persons who retired from the Oklahoma
20 Firefighters Pension and Retirement System as
21 volunteer firefighters and who did not retire
22 from the Oklahoma Firefighters Pension and
23 Retirement System as a paid firefighter.
- 24

1 As used in this subparagraph, "funded ratio" means the
2 figure derived by dividing the actuarial value of
3 assets of the applicable retirement system by the
4 actuarial accrued liability of the applicable
5 retirement system,

6 g. which modifies the disability pension standard for
7 police officers who are members of the Oklahoma Police
8 Pension and Retirement System as provided by Section
9 50-115 of Title 11 of the Oklahoma Statutes,

10 h. which provides a cost-of-living benefit increase
11 pursuant to the provisions of:

12 (1) Section 49-143.7 of Title 11 of the Oklahoma
13 Statutes,

14 (2) Section 50-136.9 of Title 11 of the Oklahoma
15 Statutes,

16 (3) Section 1104K of Title 20 of the Oklahoma
17 Statutes,

18 (4) Section 2-305.12 of Title 47 of the Oklahoma
19 Statutes,

20 (5) Section 17-116.22 of Title 70 of the Oklahoma
21 Statutes,

22 (6) Section 6 of this act,

23 (7) Section 930.11 of Title 74 of the Oklahoma
24 Statutes,

- 1 i. which modifies the computation of the line-of-duty
2 disability benefit pursuant to the provisions of this
3 section and Sections 50-101 and 50-115 of Title 11 of
4 the Oklahoma Statutes, or
- 5 j. which authorizes membership in the Oklahoma Law
6 Enforcement Retirement System for active commissioned
7 or CLEET-certified agents of the Office of the
8 Attorney General or the Military Department of the
9 State of Oklahoma pursuant to Sections 3 and 4 of this
10 act.

11 A nonfiscal retirement bill shall include any retirement bill that
12 has as its sole purpose the appropriation or distribution or
13 redistribution of monies in some manner to a retirement system for
14 purposes of reducing the unfunded liability of such system or the
15 earmarking of a portion of the revenue from a tax to a retirement
16 system or increasing the percentage of the revenue earmarked from a
17 tax to a retirement system;

18 6. "Reduction-in-cost amendment" means an amendment to a
19 retirement bill having a fiscal impact which reduces the cost of the
20 bill as such cost is determined by the actuarial investigation for
21 the bill prepared pursuant to Section 3109 of this title;

22 7. "Retirement bill" means any bill or joint resolution
23 introduced or any bill or joint resolution amended by a member of
24 the Legislature which creates or amends any law directly affecting a

1 retirement system. A retirement bill shall not mean a bill or
2 resolution that impacts the revenue of any state tax in which a
3 portion of the revenue generated from such tax is earmarked for the
4 benefit of a retirement system;

5 8. "Retirement bill having a fiscal impact" means any
6 retirement bill creating or establishing a retirement system and any
7 other retirement bill other than a nonfiscal retirement bill; and

8 9. "Retirement system" means the Teachers' Retirement System of
9 Oklahoma, the Oklahoma Public Employees Retirement System, the
10 Uniform Retirement System for Justices and Judges, the Oklahoma
11 Firefighters Pension and Retirement System, the Oklahoma Police
12 Pension and Retirement System, the Oklahoma Law Enforcement
13 Retirement System, or a retirement system established after January
14 1, 2006.

15 SECTION 3. AMENDATORY 68 O.S. 2021, Section 1353, as
16 last amended by Section 4, Chapter 441, O.S.L. 2024 (68 O.S. Supp.
17 2025, Section 1353), is amended to read as follows:

18 Section 1353. A. It is hereby declared to be the purpose of
19 the Oklahoma Sales Tax Code to provide funds for the financing of
20 the program provided for by the Oklahoma Social Security Act and to
21 provide revenues for the support of the functions of the state
22 government of Oklahoma, and for this purpose it is hereby expressly
23 provided that, revenues derived pursuant to the provisions of the
24 Oklahoma Sales Tax Code, subject to the apportionment requirements

for the Oklahoma Tax Commission and Office of Management and Enterprise Services Joint Computer Enhancement Fund provided by Section 265 of this title, and further subject to the apportionment requirement provided in subsection D of this section, shall be apportioned as follows:

1. ~~Except~~

a. Until the conditions of subparagraph c of paragraph 3 of this subsection have been met and except as provided in subsection C of this section, the following amounts shall be paid to the State Treasurer to be placed to the credit of the General Revenue Fund to be paid out pursuant to direct appropriation by the Legislature:

Fiscal Year	Amount
FY 2003 and FY 2004	86.04%
FY 2005	85.83%
FY 2006	85.54%
FY 2007	85.04%
FY 2008 through FY 2022	83.61%
FY 2023 through FY 2027	83.36%
FY 2028 and each fiscal year thereafter	83.61%, <u>and</u>

b. After such conditions of subparagraph c of paragraph 3 of this subsection have been met and except as provided in subsection C of this section, the

following amounts shall be paid to the State Treasurer
to be placed to the credit of the General Revenue Fund
to be paid out pursuant to direct appropriation by the
Legislature:

<u>Fiscal Year</u>	<u>Amount</u>
<u>FY 2003 and FY 2004</u>	<u>86.04%</u>
<u>FY 2005</u>	<u>85.83%</u>
<u>FY 2006</u>	<u>85.54%</u>
<u>FY 2007</u>	<u>85.04%</u>
<u>FY 2008 through FY 2022</u>	<u>83.61%</u>
<u>FY 2023 through FY 2027</u>	<u>83.36%</u>
<u>FY 2028 and each fiscal year thereafter</u>	<u>88.61%;</u>

2. The following amounts shall be paid to the State Treasurer
to be placed to the credit of the Education Reform Revolving Fund of
the State Department of Education:

a. for FY 2003, FY 2004 and FY 2005, ten and forty-two
one-hundredths percent (10.42%),

b. for FY 2006 through FY 2020, ten and forty-six one-
hundredths percent (10.46%),

c. for FY 2021:

(1) for the month beginning July 1, 2020, through the
month ending August 31, 2020, ten and forty-six
one-hundredths percent (10.46%), and

(2) for the month beginning September 1, 2020,
 through the month ending June 30, 2021, eleven
 and ninety-six one-hundredths percent (11.96%),
and

d. for FY 2022 and each fiscal year thereafter, ten and
 forty-six one-hundredths percent (10.46%);

3. The Subject to the provisions of subparagraph c of this
paragraph, the following amounts shall be paid to the State
 Treasurer to be placed to the credit of the Teachers' Retirement
 System Dedicated Revenue Revolving Fund:

Fiscal Year	Amount
FY 2003 and FY 2004	3.54%
FY 2005	3.75%
FY 2006	4.0%
FY 2007	4.5%
FY 2008 through FY 2020	5.0%
FY 2021:	
a. for the month beginning July 1, 2020, through the month ending August 31, 2020	5.0%
b. for the month beginning September 1, 2020, through the month ending June 30, 2021	3.5%

1	FY 2022	5.0%
2	FY 2023 through FY 2027	5.25%
3	FY 2028 and each fiscal year thereafter	5.0% <u>,</u>

4 c. all apportionments to the Teachers' Retirement System
5 Dedicated Revenue Revolving Fund, pursuant to this
6 subsection, shall cease upon the earlier of June 30,
7 2036, or June 30 of the state fiscal year in which a
8 determination is made by an actuary employed or
9 contracted by the Teachers' Retirement System of
10 Oklahoma that the System has a funded ratio equal to
11 or greater than one hundred percent (100%);

12 4. a. except as otherwise provided in subparagraph b of this
13 paragraph, for the fiscal year beginning July 1, 2022,
14 and for each fiscal year thereafter, eighty-seven one-
15 hundredths percent (0.87%) shall be paid to the State
16 Treasurer to be further apportioned as follows:

17 (1) twenty-four percent (24%) shall be placed to the
18 credit of the Oklahoma Tourism Promotion
19 Revolving Fund, but in no event shall such
20 apportionment exceed Five Million Dollars
21 (\$5,000,000.00) in any fiscal year,

22 (2) forty-four percent (44%) shall be placed to the
23 credit of the Oklahoma Tourism Capital

24 Improvement Revolving Fund, but in no event shall

1 such apportionment exceed Nine Million Dollars
2 (\$9,000,000.00) in any fiscal year, and
3 (3) thirty-two percent (32%) shall be placed to the
4 credit of the Oklahoma Route 66 Commission
5 Revolving Fund, but in no event shall such
6 apportionment exceed Six Million Six Hundred
7 Thousand Dollars (\$6,600,000.00) in any fiscal
8 year, and

9 b. any amounts which exceed the limitations of
10 subparagraph a of this paragraph shall be placed to
11 the credit of the General Revenue Fund; and

12 5. For the fiscal year beginning July 1, 2015, and for each
13 fiscal year thereafter, six one-hundredths percent (0.06%) shall be
14 placed to the credit of the Oklahoma Historical Society Capital
15 Improvement and Operations Revolving Fund, but in no event shall
16 such apportionment exceed the total amount apportioned pursuant to
17 this paragraph for the fiscal year ending on June 30, 2015. Any
18 amounts which exceed the limitations of this paragraph shall be
19 placed to the credit of the General Revenue Fund.

20 B. Provided, for the fiscal year beginning July 1, 2007, and
21 every fiscal year thereafter, an amount of revenue shall be
22 apportioned to each municipality or county which levies a sales tax
23 subject to the provisions of Section 1357.10 of this title and
24 subsection F of Section 2701 of this title equal to the amount of

1 sales tax revenue of such municipality or county exempted by the
2 provisions of Section 1357.10 of this title and subsection F of
3 Section 2701 of this title. The Oklahoma Tax Commission shall
4 promulgate and adopt rules necessary to implement the provisions of
5 this subsection.

6 C. From the monies that would otherwise be apportioned to the
7 General Revenue Fund pursuant to subsection A of this section, there
8 shall be apportioned the following amounts:

9 1. For the month ending August 31, 2019:

10 a. Nine Million Six Hundred Thousand Dollars
11 (\$9,600,000.00) to the credit of the State Highway
12 Construction and Maintenance Fund created in Section
13 1501 of Title 69 of the Oklahoma Statutes, and

14 b. Two Million Dollars (\$2,000,000.00) to the credit of
15 the Oklahoma Railroad Maintenance Revolving Fund
16 created in Section 309 of Title 66 of the Oklahoma
17 Statutes;

18 2. For the month ending September 30, 2019:

19 a. Twenty Million Dollars (\$20,000,000.00) to the credit
20 of the State Highway Construction and Maintenance Fund
21 created in Section 1501 of Title 69 of the Oklahoma
22 Statutes, and

23 b. Two Million Dollars (\$2,000,000.00) to the credit of
24 the Oklahoma Railroad Maintenance Revolving Fund

1 created in Section 309 of Title 66 of the Oklahoma
2 Statutes;

3 3. For the month ending October 31, 2019:

4 a. Twenty Million Dollars (\$20,000,000.00) to the credit
5 of the State Highway Construction and Maintenance Fund
6 created in Section 1501 of Title 69 of the Oklahoma
7 Statutes, and

8 b. Two Million Dollars (\$2,000,000.00) to the credit of
9 the Oklahoma Railroad Maintenance Revolving Fund
10 created in Section 309 of Title 66 of the Oklahoma
11 Statutes;

12 4. For the month ending November 30, 2019:

13 a. Twenty Million Dollars (\$20,000,000.00) to the credit
14 of the State Highway Construction and Maintenance Fund
15 created in Section 1501 of Title 69 of the Oklahoma
16 Statutes, and

17 b. Two Million Dollars (\$2,000,000.00) to the credit of
18 the Oklahoma Railroad Maintenance Revolving Fund
19 created in Section 309 of Title 66 of the Oklahoma
20 Statutes; and

21 5. For the month ending December 31, 2019:

22 a. Twenty Million Dollars (\$20,000,000.00) to the credit
23 of the State Highway Construction and Maintenance Fund
24

1 created in Section 1501 of Title 69 of the Oklahoma
2 Statutes, and

3 b. Two Million Dollars (\$2,000,000.00) to the credit of
4 the Oklahoma Railroad Maintenance Revolving Fund
5 created in Section 309 of Title 66 of the Oklahoma
6 Statutes.

7 D. For fiscal year 2029, and each subsequent fiscal year, Fifty
8 Million Dollars (\$50,000,000.00) shall be placed to the credit of
9 the Oklahoma Capital Assets Maintenance and Protection Fund created
10 in Section ~~2~~ 188B of ~~this act~~ Title 73 of the Oklahoma Statutes.

11 SECTION 4. AMENDATORY 68 O.S. 2021, Section 1403, is
12 amended to read as follows:

13 Section 1403. A. It is hereby declared to be the purpose of
14 Section 1401 et seq. of this title to provide for the support of the
15 functions of the state and local government of Oklahoma; and for
16 this purpose and to this end, it is hereby expressly provided that
17 the revenues derived hereunder, subject to the apportionment
18 provided in subsection B of this section and to the apportionment
19 requirements for the Oklahoma Tax Commission and Office of
20 Management and Enterprise Services Joint Computer Enhancement Fund
21 provided by Section 265 of this title, are hereby apportioned as
22 follows:

23 1. ~~The~~

24

a. Until the conditions of subparagraph c of paragraph 3 of this subsection have been met, the following amounts shall be paid by the Tax Commission to the State Treasurer and placed to the credit of the General Revenue Fund to be paid out pursuant to direct appropriation by the Legislature:

Fiscal Year	Amount
FY 2004	85.35%
FY 2005	85.14%
FY 2006	85.54%
FY 2007	85.04%
FY 2008 through FY 2022	83.61%
FY 2023 through FY 2027	83.36%
FY 2028 and each fiscal year thereafter	83.61%, <u>and</u>

b. After such conditions of subparagraph c of paragraph 3 of this subsection have been met, the following amounts shall be paid by the Tax Commission to the State Treasurer and placed to the credit of the General Revenue Fund to be paid out pursuant to direct appropriation by the Legislature:

<u>Fiscal Year</u>	<u>Amount</u>
<u>FY 2004</u>	<u>85.35%</u>
<u>FY 2005</u>	<u>85.14%</u>
<u>FY 2006</u>	<u>85.54%</u>

FY 2007	85.04%
FY 2008 through FY 2022	83.61%
FY 2023 through FY 2027	83.36%
FY 2028 and each fiscal year thereafter	88.61%;

2. The following amounts shall be paid to the State Treasurer to be placed to the credit of the Education Reform Revolving Fund of the State Department of Education:

a. for FY 2020, ten and forty-six one-hundredths percent (10.46%),

b. for FY 2021:

(1) for the month beginning July 1, 2020, through the month ending August 31, 2020, ten and forty-six one-hundredths percent (10.46%), and

(2) for the month beginning September 1, 2020, through the month ending June 30, 2021, eleven and ninety-six one-hundredths percent (11.96%), and

c. for FY 2022 and each fiscal year thereafter, ten and forty-six one-hundredths percent (10.46%);

3. The Subject to the provisions of subparagraph c of this paragraph, the following amounts shall be paid to the State Treasurer to be placed to the credit of the Teachers' Retirement System Dedicated Revenue Revolving Fund:

Fiscal Year	Amount
-------------	--------

1	FY 2003 and FY 2004	3.54%
2	FY 2005	3.75%
3	FY 2006	4.0%
4	FY 2007	4.5%
5	FY 2008 through FY 2020	5.0%
6	FY 2021:	
7	a. for the month beginning July	
8	1, 2020, through the month	
9	ending August 31, 2020	5.0%
10	b. for the month beginning	
11	September 1, 2020, through	
12	the month ending June 30,	
13	2021	3.5%
14	FY 2022	5.0%
15	FY 2023 through FY 2027	5.25%
16	FY 2028 and each fiscal year thereafter	5.0%;

c. all apportionments to the Teachers' Retirement System
Dedicated Revenue Revolving Fund, pursuant to this
subsection, shall cease upon the earlier of June 30,
2036, or June 30 of the state fiscal year in which a
determination is made by an actuary employed or
contracted by the Teachers' Retirement System of
Oklahoma that the System has a funded ratio equal to
or greater than one hundred percent (100%);

1 4. a. except as otherwise provided in subparagraph b of this
2 paragraph, for the fiscal year beginning July 1, 2015,
3 and for each fiscal year thereafter, eighty-seven one-
4 hundredths percent (0.87%) shall be paid to the State
5 Treasurer to be further apportioned as follows:

6 (1) thirty-six percent (36%) shall be placed to the
7 credit of the Oklahoma Tourism Promotion
8 Revolving Fund, but in no event shall such
9 apportionment exceed the total amount apportioned
10 pursuant to this division for the fiscal year
11 ending on June 30, 2015, and

12 (2) sixty-four percent (64%) shall be placed to the
13 credit of the Oklahoma Tourism Capital
14 Improvement Revolving Fund, but in no event shall
15 such apportionment exceed the total amount
16 apportioned pursuant to this division for the
17 fiscal year ending on June 30, 2015, and

18 b. any amounts which exceed the limitations of
19 subparagraph a of this paragraph shall be placed to
20 the credit of the General Revenue Fund; and

21 5. For the fiscal year beginning July 1, 2015, and for each
22 fiscal year thereafter, six one-hundredths percent (0.06%) shall be
23 placed to the credit of the Oklahoma Historical Society Capital
24 Improvement and Operations Revolving Fund, but in no event shall

1 such apportionment exceed the total amount apportioned pursuant to
2 this paragraph for the fiscal year ending on June 30, 2015. Any
3 amounts which exceed the limitations of this paragraph shall be
4 placed to the credit of the General Revenue Fund.

5 B. Prior to the apportionments otherwise provided in this
6 section, there shall be apportioned to the Education Reform
7 Revolving Fund of the State Department of Education the following
8 amounts in the following state fiscal years:

9 FY 2019 \$19,600,000.00; and

10 FY 2020 and each year thereafter \$20,500,000.00.

11 SECTION 5. AMENDATORY 68 O.S. 2021, Section 2352, is
12 amended to read as follows:

13 Section 2352. It is hereby declared to be the purpose of
14 Section 2351 et seq. of this title to provide revenue for general
15 governmental functions of state government; and, for that purpose
16 and to that end, it is expressly declared that the revenue derived
17 herefrom and penalties and interest thereon, subject to the
18 apportionment requirements for the Rebuilding Oklahoma Access and
19 Driver Safety Fund, the Oklahoma Tourism and Passenger Rail
20 Revolving Fund, the Public Transit Revolving Fund and the Education
21 Reform Revolving Fund to be derived from income tax revenue that
22 would otherwise be apportioned to the General Revenue Fund as
23 provided by Section 1521 of Title 69 of the Oklahoma Statutes,
24 subject to the apportionment requirements for the Oklahoma Tax

Commission and Office of Management and Enterprise Services Joint Computer Enhancement Fund provided by Section 265 of this title, and subject to the apportionment requirements for the Oklahoma State Capitol Building Repair and Restoration Fund provided by Section 19 of Title 73 of the Oklahoma Statutes, shall be distributed as follows:

1. For the fiscal year beginning July 1, 2002, the first Five Million Eight Hundred Thousand Dollars (\$5,800,000.00) of revenue derived pursuant to the provisions of subsections A, B and E of Section 2355 of this title shall be apportioned to the Education Reform Revolving Fund. The remainder of such revenue for the fiscal year beginning July 1, 2002, and all such revenue for each fiscal year thereafter shall be apportioned monthly as follows:

a. (1) Until the conditions of subparagraph e of this paragraph have been met, the following amounts shall be paid to the State Treasurer to be placed to the credit of the General Revenue Fund of the state for such fiscal year for the support of the state government to be paid out only pursuant to appropriation by the Legislature:

Fiscal Year	Amount
FY 2003 and FY 2004	87.12%
FY 2005	86.91%
FY 2006	86.66%

FY 2007	86.16%
FY 2008 through FY 2022	85.66%
FY 2023 through FY 2027	85.41%
FY 2028 and each	
fiscal year thereafter	85.66%

Of the funds apportioned to the General Revenue Fund pursuant to this ~~subparagraph~~ division, until the expiration of the Filmed in Oklahoma Act of 2021 as provided in Section ~~41~~ 3641 of this ~~act~~ title, Thirty Million Dollars (\$30,000,000.00) shall be transferred to the Oklahoma Tax Commission for deposit in the Filmed in Oklahoma Program Revolving Fund, and

(2) After such conditions of subparagraph e of this paragraph have been met, the following amounts shall be paid to the State Treasurer to be placed to the credit of the General Revenue Fund of the state for such fiscal year for the support of the state government to be paid out only pursuant to appropriation by the Legislature:

<u>Fiscal Year</u>	<u>Amount</u>
<u>FY 2003 and FY 2004</u>	<u>87.12%</u>
<u>FY 2005</u>	<u>86.91%</u>
<u>FY 2006</u>	<u>86.66%</u>

FY 2007 86.16%

FY 2008 through FY 2022 85.66%

FY 2023 through FY 2027 85.41%

FY 2028 and each

fiscal year thereafter 90.66%

Of the funds apportioned to the General Revenue

Fund pursuant to this division, until the

expiration of the Filmed in Oklahoma Act of 2021

as provided in Section 3641 of this title, Thirty

Million Dollars (\$30,000,000.00) shall be

transferred to the Oklahoma Tax Commission for

deposit in the Filmed in Oklahoma Program

Revolving Fund.

b. the following amounts shall be paid to the State Treasurer to be placed to the credit of the Education Reform Revolving Fund of the State Department of Education:

(1) for FY 2003 through FY 2020, eight and thirty-four one-hundredths percent (8.34%),

(2) for FY 2021:

(a) for the month beginning July 1, 2020,

through the month ending August 31, 2020,

eight and thirty-four one-hundredths percent

(8.34%), and

(b) for the month beginning September 1, 2020,
through the month ending June 30, 2021, nine
and eighty-four one-hundredths percent
(9.84%),

(3) for FY 2022 and each fiscal year thereafter,
eight and thirty-four one-hundredths percent
(8.34%) shall be paid to the State Treasurer to
be placed to the credit of the Education Reform
Revolving Fund,

c. subject to the provisions of subparagraph e of this
paragraph, the following amounts shall be paid to the
State Treasurer to be placed to the credit of the
Teachers' Retirement System Dedicated Revenue
Revolving Fund:

Fiscal Year	Amount
FY 2003 and FY 2004	3.54%
FY 2005	3.75%
FY 2006	4.0%
FY 2007	4.5%
FY 2008 through FY 2020	5.0%
FY 2021:	

(1) for the month beginning
July 1, 2020, through

the month ending August

31, 2020 5.0%

(2) for the month beginning

September 1, 2020,

through the month ending

June 30, 2021 3.5%

FY 2022 5.0%

FY 2023 through FY 2027 5.25%

FY 2028 and each fiscal

year thereafter 5.0%

d. for FY 2003 and each fiscal year thereafter, one percent (1%) shall be placed to the credit of the Ad Valorem Reimbursement Fund,

e. all apportionments to the Teachers' Retirement System Dedicated Revenue Revolving Fund pursuant to this paragraph, shall cease upon the earlier of June 30, 2036, or June 30 of the state fiscal year in which a determination is made by an actuary employed or contracted by the Teachers' Retirement System of Oklahoma that the System has a funded ratio equal to or greater than one hundred percent (100%);

2. Beginning July 1, 2003, for any period of time as certified by the Oklahoma Development Finance Authority and the Oklahoma Department of Commerce to be necessary for the repayment of

obligations issued by the Oklahoma Development Finance Authority pursuant to Section 3654 of this title if the other sources of revenue paid to or apportioned to the Quality Jobs Program Incentive Leverage Fund are not adequate including the proceeds from payment pursuant to the guaranty required by subsection M of Section 3654 of this title, an amount certified by the Oklahoma Development Finance Authority to the Oklahoma Tax Commission shall be apportioned to the Quality Jobs Program Incentive Leverage Fund before any other apportionments are made as otherwise authorized by this paragraph. The Oklahoma Development Finance Authority shall certify to the Oklahoma Tax Commission the time as of which the revenue authorized for apportionment pursuant to this paragraph is no longer required. After the certification, the revenue derived from the income tax shall be apportioned in the manner otherwise provided by this section. Except as otherwise provided by this paragraph, for the fiscal year beginning July 1, 2002, the first Forty-one Million One Hundred Ninety Thousand Eight Hundred Dollars (\$41,190,800.00) of revenue derived pursuant to the provisions of subsections D and E of Section 2355 of this title shall be apportioned to the Education Reform Revolving Fund. The remainder of such revenue for the fiscal year beginning July 1, 2002, and all such revenue for each fiscal year thereafter, subject to the apportionment requirements for the Oklahoma Tax Commission and Office of Management and Enterprise

Services Joint Computer Enhancement Fund provided by Section 265 of this title, shall be apportioned monthly as follows:

- a. (1) Until the conditions of subparagraph e of this paragraph have been met, the following amounts shall be paid to the State Treasurer to be placed to the credit of the General Revenue Fund of the state for such fiscal year for the support of the state government to be paid out only pursuant to appropriation by the Legislature:

Fiscal Year	Amount
FY 2003 and FY 2004	78.96%
FY 2005	78.75%
FY 2006	78.50%
FY 2007	78.0%

- ~~(1)~~ (a) FY 2018 through FY 2022
until the apportionment to
the General Revenue Fund
equals the moving five-
year average amount for
corporate income tax as
prescribed by paragraph 3
of this section 77.50%
- (b) FY 2023 through FY 2027
until the apportionment to

the General Revenue Fund

equals the moving five-

year average amount for

corporate income tax as

prescribed by paragraph 3

of this section

77.25%

(c) FY 2028 and each fiscal

year thereafter until the

apportionment to the

General Revenue Fund

equals the moving five-

year average amount for

corporate income tax as

prescribed by paragraph 3

of this section

77.50%

(2) after such conditions of subparagraph e of this

paragraph have been met, the following amounts

shall be paid to the State Treasurer to be placed

to the credit of the General Revenue Fund of the

state for such fiscal year for the support of the

state government to be paid out only pursuant to

appropriation by the Legislature:

Fiscal Year

Amount

FY 2003 and FY 2004

78.96%

FY 2005 78.75%

FY 2006 78.50%

FY 2007 78.0%

(a) FY 2018 through FY 2022 until the
apportionment to the General Revenue Fund
equals the moving five-year average amount
for corporate income tax as prescribed by
paragraph 3 of this section 77.50%

(b) FY 2023 through FY 2027
until the apportionment to
the General Revenue Fund
equals the moving five-
year average amount for
corporate income tax as
prescribed by paragraph 3
of this section 82.25%

(c) FY 2028 and each fiscal
year thereafter until the
apportionment to the
General Revenue Fund
equals the moving five-
year average amount for
corporate income tax as

prescribed by paragraph 3

of this section 82.50%

(3) there shall be apportioned from the tax levy imposed on corporate income tax to the Revenue Stabilization Fund created by Section 34.102 of Title 62 of the Oklahoma Statutes, or to the Constitutional Reserve Fund, as provided by Section 34.102 of Title 62 of the Oklahoma Statutes, the amount of revenue, if any, which exceeds the moving five-year average amount as defined pursuant to paragraph 3 of this section,

b. the following amounts shall be paid to the State Treasurer to be placed to the credit of the Education Reform Revolving Fund of the State Department of Education:

(1) for FY 2003 through FY 2020, sixteen and five-tenths percent (16.5%),

(2) for FY 2021:

(a) for the month beginning July 1, 2020, through the month ending August 31, 2020, sixteen and five-tenths percent (16.5%), and

(b) for the month beginning September 1, 2020, through the month ending June 30, 2021, eighteen percent (18%),

(3) for FY 2022, and each fiscal year thereafter,
 sixteen and five-tenths percent (16.5%),
 c. subject to the provisions of subparagraph e of this
paragraph, the following amounts shall be paid to the
 State Treasurer to be placed to the credit of the
 Teachers' Retirement System Dedicated Revenue
 Revolving Fund:

Fiscal Year	Amount
FY 2003 and FY 2004	3.54%
FY 2005	3.75%
FY 2006	4.0%
FY 2007	4.5%
FY 2008 through FY 2020	5.0%
FY 2021:	
(1) for the month beginning July 1, 2020, through the month ending August 31, 2020	5.0%
(2) for the month beginning September 1, 2020, through the month ending June 30, 2021	3.5%
FY 2022	5.0%
FY 2023 through FY 2027	5.25%

FY 2028 and each fiscal

year thereafter 5.0%

d. for FY 2003 and each fiscal year thereafter, one percent (1%) shall be placed to the credit of the Ad Valorem Reimbursement Fund,

e. all apportionments to the Teachers' Retirement System Dedicated Revenue Revolving Fund, pursuant to this paragraph, shall cease upon the earlier of June 30, 2036, or June 30 of the state fiscal year in which a determination is made by an actuary employed or contracted by the Teachers' Retirement System of Oklahoma that the System has a funded ratio equal to or greater than one hundred percent (100%); and

3. "Moving five-year average for corporate income tax" means, for purposes of the apportionments prescribed by this section, the amount of income tax on corporations, as determined by the State Board of Equalization in the manner prescribed by Section 34.103 of Title 62 of the Oklahoma Statutes.

SECTION 6. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 17-116.23 of Title 70, unless there is created a duplication in numbering, reads as follows:

Any person receiving benefits from the Teachers' Retirement System of Oklahoma as of June 30, 2026, who continues to receive

benefits on or after the effective date of this section, shall
receive an increase in benefits as follows:

1. Zero percent (0%) if the person has been retired for less
than eight (8) years as of June 30, 2026;

2. Three percent (3%) if the person has been retired for at
least eight (8) years but less than twenty (20) years as of June 30,
2026; and

3. Six percent (6%) if the person has been retired for twenty
(20) years or more as of June 30, 2026.

SECTION 7. Section 2 of this act shall become effective October
1, 2026.

SECTION 8. Sections 1, 3, 4, 5, and 6 of this act shall become
effective November 1, 2026.

DIRECT TO CALENDAR.